



SPONSOR: Rep. Collins & Sen. Huxtable
Reps. Berry, Jones Giltner, Romer, Ross Levin; Sens.
Hocker, Pettyjohn, Sturgeon, Wilson

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 279

AN ACT TO AMEND TITLE 23 OF THE DELAWARE CODE RELATING TO THE DELAWARE MARINE
EQUIPMENT RIGHT TO REPAIR ACT.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend Title 23 of the Delaware Code by making deletions as shown by strike through and insertions as
2 shown by underline as follows:

3 Chapter 14. Delaware Marine Equipment Right to Repair Act.

4 § 1401. Purpose.

5 The purpose of this chapter is to promote marine equipment owner choice and competition for repair and
6 maintenance services by requiring manufacturers of marine equipment to make available to owners and independent repair
7 providers, on fair and reasonable terms, the same documentation, parts, and tools used to diagnose, maintain, and repair
8 such equipment created by the manufacturer for the purposes of repair.

9 § 1402. Short title .

10 This chapter may be cited as the Delaware Marine Right to Repair Act.

11 § 1403. Requirements.

12 (a) For marine equipment and parts for such equipment that are sold or used in Delaware, an original equipment
13 manufacturer shall make available to any independent repair provider or owner of marine equipment manufactured by on
14 behalf of, or sold by such original equipment manufacturer, on fair and reasonable terms, any documentation, parts, and
15 tools, required for the diagnosis, maintenance, or repair of such marine equipment and parts for such equipment, inclusive
16 of any updates. Such documentation, parts and tools shall be made available either directly by such original equipment
17 manufacturer or via an authorized repair provider or distributor.

18 (b) An original equipment manufacturer shall not use parts pairing or any other mechanism to:

19 (1) prevent the installation or functioning of any otherwise-functional part, including a non-manufacturer
20 approved replacement part or component;

(2) inhibit or reduce the functioning of any part or board-level component, such that replacement by an independent repair provider or the device owner would cause the device to operate with reduced functionality or performance;

(3) create false, misleading, deceptive, or non-dismissible alerts or warnings about parts;

(4) charge additional fees or increased prices for future repairs; or

(5) limit who can purchase documentation, parts, and tools or perform repair services.

(c) For equipment that requires deactivating an electronic lock for purposes of repair, the original equipment manufacturer shall make available to any owner, or independent repair provider, with the express permission of the owner, on fair and reasonable terms, any special documentation, tools, and parts needed to access and reset the lock or function when disabled in the course of diagnosis, maintenance, or repair of such equipment. Such documentation, tools, and parts may be made available through an appropriate secure release system.

§ 1404. Definitions.

As used in this chapter:

(1) “Marine equipment” or “equipment” means every description of specialized machinery, parts, tools, and technical systems installed on or used in conjunction with vessels. Marine equipment does not include a motor vehicle that is designed to transport individuals or property on a street or highway and is certified by a motor vehicle manufacturer under all requirements for the distribution and sale of motor vehicles in the United States; industrial, construction, compact construction, mining or road-building equipment, not designed to transport on water;

(2) “Authorized Repair Provider” means an individual or business who has an arrangement with the original equipment manufacturer under which the original equipment manufacturer grants to the individual or business a license to use a trade name, service mark, or other proprietary identifiers for the purposes of offering the services of diagnosis, maintenance, or repair of marine equipment under the name of the original equipment manufacturer, or other arrangement with the original equipment manufacturer to offer such services on behalf of, or under contract to, the original equipment manufacturer. An original equipment manufacturer who offers the services of diagnosis, maintenance, or repair of its own marine equipment shall be considered an authorized repair provider with respect to such equipment.

(3) “Documentation” means any manual, maintenance procedures, functional and wiring diagrams, reporting output, service code description, board view file or complete PCB layout, PCB schematic, security code, password, training material, troubleshooting information, full list of required tools, full parts list, and other guidance or information used in effecting the services of diagnosis, maintenance, or repair of marine equipment.

50 (4) “Embedded software” means any programmable instructions provided on firmware (a software program or set
51 of instructions programmed on marine equipment, or on a part of such marine equipment, to allow the marine equipment or
52 part to communicate within itself or with other computer hardware) delivered with or loaded to the marine equipment, with
53 respect to marine equipment operation, including all relevant patches and fixes made by the manufacturer, including items
54 described as "basic internal operating system", "internal operating system", "machine code", "assembly code", "root code",
55 and "microcode".

56 (5) “Fair and reasonable terms” means all of the following:

57 a. with respect to parts, made available by the original equipment manufacturer, either directly or through
58 an authorized repair provider, in a manner that:

59 1. is not conditioned on or imposing a substantial obligation or restriction that is not reasonably
60 necessary for enabling the owner or independent repair provider to engage in the diagnosis, maintenance,
61 or repair of marine equipment made by or on behalf of the original equipment manufacturer;

62 2. does not require a minimum or maximum quantity of parts that owners and independent repair
63 providers can purchase; and

64 3. does not condition access to parts on any additional contract other than a purchase order.

65 b. with respect to documentation, made available by the original equipment manufacturer without
66 requiring any contract agreement or account creation and at no charge except that, when the documentation is
67 requested in physical printed form, a charge may be included for the reasonable actual costs of preparing and
68 sending the copy.

69 1. with respect to tools, made available by the original equipment manufacturer at no charge, except that,
70 when a tool is requested in physical form, a charge may be included for the reasonable, actual costs of preparing
71 and sending such tool;

72 2. without requiring authorization or internet access for the use or operation of such tools, or imposing
73 impediments to access or use of the tools to diagnose, maintain, or repair and enable full functionality of marine
74 equipment; and

75 3. in a manner that does not impair the efficient and cost-effective performance of any such diagnosis,
76 maintenance, or repair.

77 (6) “Independent repair provider” means an individual or business operating in this State that does not have an
78 arrangement described in paragraph (2) of this section with an original equipment manufacturer, and who is engaged in the
79 services of diagnosis, maintenance, or repair of marine equipment.

(7) “Original Equipment Manufacturer (OEM)” or “manufacturer” means a business engaged in the business of selling, leasing, or otherwise supplying new marine equipment manufactured by or on behalf of itself, to any individual or business.

(8) “Owner” means an individual or business who owns or leases marine equipment purchased or used in this State.

(9) “Part” means any replacement part, either new or used, made available or used by an original equipment manufacturer or its authorized repair providers for purposes of effecting the services of maintenance or repair of marine equipment manufactured by or on behalf of, sold or otherwise supplied by the original equipment manufacturer.

(10) “Parts Pairing” refers to the practice by manufacturers of using software to identify component parts through a unique identifier.

(11) “Tool” means any software program, hardware implement, or other apparatus used for diagnosis, maintenance, or repair of marine equipment, including software or other mechanisms that provision, program, or pair a new part, calibrate functionality, or perform any other function required to bring the product back to fully functional condition, including any updates.

(12) “Trade secret” has the meaning given it in Section 201 of Title 6.

(13) “Updates” means recommended corrections or adjustments to parts, tools or information that are created and distributed by the OEM and used in offering the services of diagnosis, maintenance or repair of marine equipment.

(14) “Vessel” has the meaning given in § 1303(d)(3) of this Title.

§ 1405. Vessel Enforcement by Attorney General .

If the Attorney General determines that a failure to provide documentation, parts, or tools as described in § 1803 of this Title constitutes an unfair method of competition, false advertising, or unfair or deceptive trade practices under Chapter 25 of this Title 6, all remedies, penalties, and authority granted to the Attorney General by that law shall be available to the Attorney General for the enforcement of this chapter

§ 1406. Limitations.

(a) Nothing in this chapter shall be construed to require an original equipment manufacturer to divulge any trade secret to any owner or independent service provider, except as necessary to perform diagnosis, maintenance, or repair on fair and reasonable terms.

(b) Nothing in this chapter shall be construed to alter the terms of any arrangement described in subsection (a) of § 1803 of this chapter in force between an authorized repair provider and an original equipment manufacturer, including, but not limited to, the performance or provision of warranty or recall repair work by an authorized repair provider on behalf of

110 an original equipment manufacturer and pursuant to such arrangement, except that any provision in such terms that purports
111 to waive, avoid, restrict or limit the original equipment manufacturer's obligations to comply with this Act shall be void
112 and unenforceable.

113 (c) No original equipment manufacturer or authorized repair provider shall be liable for any damage or injury to
114 any marine equipment caused by an independent repair provider or owner which occurs during the course of repair,
115 diagnosis, or maintenance and is not attributable to the original equipment manufacturer or authorized repair provider other
116 than if the failure is attributable to design or manufacturing defects.

117 (d) Nothing in this chapter shall be construed to require a manufacturer to make available special documentation,
118 tools, and parts that would disable or override anti-theft security measures set by the owner of the product without the
119 owner's authorization.

120 (e) Nothing in this chapter shall be construed to require a manufacturer to sell a part if the part is no longer
121 available to the manufacturer.

122 (f) Nothing in this chapter shall be construed to require a manufacturer to sell any service materials that would be
123 illegal to use under federal or state law.

124 (g) Nothing in this chapter shall be construed to prevent a parts dealer from marking up goods over the wholesale
125 price.

126 § 1407. Applicability.

127 This chapter applies to equipment first manufactured and sold on or after the effective date of this act.

128 Section 2. Effective date.

129 This act shall take effect 6 months after it is enacted.

SYNOPSIS

This bill promotes marine equipment owner choice and competition for repair and maintenance services by requiring manufacturers of marine equipment to make available to owners and independent repair providers, on fair and reasonable terms, the same documentation, parts, and tools used to diagnose, maintain, and repair such equipment created by the manufacturer for the purposes of repair.